

Insurance Company ? Capital Resources Requirements

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1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to a _non-directive insurer_ other than a _non-directive friendly society_.

1.2

If a _firm_ carries on _long-term insurance business_ and _general insurance business_ , except where a particular provision provides otherwise, the rules in this Part apply separately to each type of business.

1.3

In this Part, the following definitions shall apply:

adjusted mathematical reserves

has the meaning given in 19.1.

administrative expenses

has the meaning set out in the _insurance accounts rules_.

base capital resources requirement

has the meaning given in 6.1.

defined benefits pension scheme

means a _pension policy_ under which the only _money-purchase benefits_ are benefits ancillary to other benefits which are not _money-purchase benefits_.

equity market adjustment ratio

means:

1. (1) if the ratio calculated in (a) and (b) lies between 75% and 100%, the result of 100% less the ratio (expressed as a percentage) of:

1. (a) the current value of the FTSE Actuaries All Share Index; to

2. (b) the average value of the FTSE Actuaries All Share Index over the preceding 90 calendar days;

2. (2) 0%, if the ratio calculated in (1)(a) and (b) is more than 100%; and

3. (3) 25%, if the ratio calculated in (1)(a) and (b) is less than 75%,

where the average value of the FTSE Actuaries All Share Index over any period of 90 calendar days is the arithmetic mean based on levels at the close of business on each of the days in that period on which the London Stock Exchange was open for trading.

gross adjusted claims amount

has the meaning given in 9.2 to 9.5.

gross adjusted premiums amount

has the meaning given in 8.2.

life protection reinsurance business

means _reinsurance_ acceptances which are _contracts of insurance_ :

1. (1) falling within _long-term insurance business_ _class_ I; or
2. (2) falling within _long-term insurance business class_ III and providing _index-linked benefits_ ;

that are not:

1. (3) _with-profits policies_ ;
2. (4) _whole life assurances_ ;
3. (5) contracts to pay annuities on human life; or
4. (6) contracts which pay a sum of money on the survival of the life assured to a specific date or on his earlier death.

long-term gilt yield

means the annualised equivalent of the 15 year gilt yield for the _UK_ Government fixed-interest _securities_ index jointly compiled by the Financial Times, the Institute of Actuaries and the Faculty of Actuaries.

mixed insurer

means an _insurer_ (other than a _pure reinsurer_) which carries on _reinsurance_ business and where one or more of the following conditions is met in respect of its _reinsurance_ acceptances:

1. (1) the _premiums_ collected in respect of those acceptances during the previous _financial year_ exceeded 10% of its total _premiums_ collected during that year; and
2. (2) the _technical provisions_ in respect of those acceptances at the end of the previous _financial year_ exceeded 10% of its total _technical provisions_ at the end of that year.

money-purchase benefits

means benefits, the rate or amount of which are calculated by reference to a payment or payments made by a member of the scheme.

permanent health reinsurance business

means _reinsurance_ acceptances which are _contracts of insurance_ falling within _long-term insurance business class_ IV.

real estate market adjustment ratio

means:

1. (1) if the ratio calculated in (a) and (b) lies between 90% and 100%, the result of 100% less the ratio (expressed as a percentage) of:

1. (a) the current value of the real estate index; to
2. (b) the average value of that real estate index over the three preceding _financial years_ ;
2. (2) 0%, if the ratio calculated in (1)(a) and (b) is more than 100%; and
3. (3) 10%, if the ratio calculated in (1)(a) and (b) is less than 90%.

reinsurance ratio

has the meaning given in 11.1.

relevant assets

means a range of assets which must be selected by the _firm_ pursuant to 20.2 from the assets specified in (1) and (2) in the order specified:

1. (1) its _long-term insurance assets_ ; and
2. (2) only where the _firm_ has selected all the assets within (1), its shareholder assets, other than assets of an amount and kind required:
 1. (a) to cover its liabilities arising outside its _long-term insurance funds_ ; or
 2. (b) to meet any regulatory capital requirements in respect of business written outside its _long-term insurance funds_.

significant territory

means any country or territory in which more than 2.5% of a _firm's_ long-term insurance assets_ (by _market value_), excluding assets held to cover _index-linked liabilities_ or _property-linked liabilities_ , are invested and for these purposes the member states of the _EU_ which have adopted the Euro as the official currency may be treated as a single territory.

whole life assurance

means a _contract of insurance_ which, disregarding any benefit payable on surrender, secures a capital sum only on death or either on death or on disability, but does not include a term assurance.

2

Resources Monitoring

2.1

A _firm_ must at all times monitor whether it is complying with 3.1 and be able to demonstrate that it knows at all times whether it is complying with that rule.

2.2

A _firm_ must notify the _PRA_ immediately in accordance with Notifications 2 of any breach, or expected breach, of 3.1.

3

Capital Resources Requirement

3.1

A _firm_ must maintain at all times _capital resources_ equal to or in excess of its _CR Requirement_.

3.2

A _firm_ that carries on both _long-term insurance business_ and _general insurance business_ must comply with 3.1, and apply 4.2 and 4.3, separately in respect of both its _long-term insurance business_ and its _general insurance business_ , unless it is a _pure reinsurer_ which has a single _CR Requirement_ in respect of its entire business in accordance with 5.2 and 5.3.

4

Calculation of the CR Requirement

4.1

This Chapter does not apply to a _pure reinsurer_.

4.2

The _CR Requirement_ for a _firm_ carrying on _general insurance business_ is equal to the higher of:

1. (1) the _base capital resources requirement_ for _general insurance business_ applicable to that _firm_ ; and
2. (2) the _general insurance capital requirement_.

4.3

The _CR Requirement_ for a _firm_ carrying on _long-term insurance business_ is equal to the higher of:

1. (1) the _base capital resources requirement_ for _long-term insurance business_ applicable to that _firm_ ; and
2. (2) the _long-term insurance capital requirement_.

5

Calculation of the CR Requirement ? Pure Reinsurers

5.1

This Chapter only applies to a _pure reinsurer_.

5.2

Subject to 5.3, for a _pure reinsurer_ :

1. (1) the _CR Requirement_ in respect of its _general insurance business_ is the _general insurance capital requirement_ ; and
2. (2) the _CR Requirement_ in respect of its _long-term insurance business_ is the _long-term insurance capital requirement_.

5.3

If the sum of:

1. (1) the _general insurance capital requirement_ ; and
2. (2) the _long-term insurance capital requirement_ ,

is lower than the `_base capital resources requirement_`, the `_firm_` has a single `_CR Requirement_` in respect of its entire business equal to the `_base capital resources requirement_`.

6

Base Capital Resources Requirement

6.1

The amount of a `_firm_`'s base capital resources requirement is:

`_Firm_ category` | Amount

---|---|---

General insurance business

Liability `_insurer_` (classes 10-15) | A `_mutual_` that is a `_Solvency I firm_` | £2.25 million

| An `_insurer_` that is a `_non-Solvency I firm_` | £280,000

| Other (including `_mixed insurer_` but excluding `_pure reinsurer_`) | £3.00 million

Other `_insurer_` | A `_mutual_` that is a `_Solvency I firm_` | £1.5 million

| An `_insurer_` that is a `_non-Solvency I firm_` (`_classes_` 1 to 8, 16 or 18) | £210,000

| An `_insurer_` that is a `_non-Solvency I firm_` (`_classes_` 9 or 17) | £140,000

| `_Mixed insurer_` | £3.00 million

| Other (excluding `_pure reinsurer_`) | £2.00 million

`_Long-term insurance business_`

`_Mutual_` | A `_mutual_` that is a `_Solvency I firm_` | £2.25 million

| A `_mutual_` that is a `_non-Solvency I firm_` | £560,000

Any other `_insurer_` (including a `_mixed insurer_` but excluding a `_pure reinsurer_`) | £3.00 million

All business (`_general insurance business_` and `_long-term insurance business_`) |

`_Pure reinsurer_` | £3.00 million

6.2

If a `_firm_` falls within one or more of the descriptions of type of `_firm_` set out in 6.1, its `_base capital resources requirement_` is the highest amount set out against the different types of `_firm_` within whose description it falls.

7

General Insurance Capital Requirement

7.1

A `_firm_` carrying on `_general insurance business_` must calculate its `_general insurance capital requirement_` as the highest of:

1. (1) the `_premiums amount_`;
2. (2) the `_claims amount_`; and
3. (3) the `_brought forward amount_`.

8

The Premiums Amount

8.1

The premiums amount is:

1. (1) 18% of the gross adjusted premiums amount ; multiplied by
2. (2) the reinsurance ratio.

8.2

For the purpose of 8.1, the gross adjusted premiums amount is the higher of the gross written premiums and gross earned premiums (as adjusted in accordance with 12.1) for the financial year in question, adjusted by:

1. (1) except for a pure reinsurer which ceased to conduct new reinsurance contracts before 31 December 2006, increasing the amount included in respect of the premiums for general insurance business classes 11, 12 and 13 by 50%;
2. (2) deducting 66.7% of the premiums for actuarial health insurance that meets the conditions set out in 13.1; and
3. (3) multiplying the resulting figure by 12 and dividing by the number of months in the financial year. For the purposes of this calculation, the number of months in the financial year is the number of complete calendar months in the financial year plus any fractions of a month at the beginning and the end of the financial year.

9

The Claims Amount

9.1

The claims amount is:

1. (1) 26% of the gross adjusted claims amount ; multiplied by
2. (2) the reinsurance ratio.

9.2

For the purpose of 9.1 and subject to 9.3, the gross adjusted claims amount is the amount of gross claims incurred (as determined in accordance with 12.1) over the reference period and adjusted by:

1. (1) except for a pure reinsurer which ceased to conduct new reinsurance contracts before 31 December 2006, increasing by 50% the amount included in respect of the claims incurred for 11, 12 and 13;
2. (2) deducting 66.7% of the claims for actuarial health insurance that meets the conditions set out in 13.1; and
3. (3) multiplying the resulting figure by 12 and dividing by the number of months in the reference period. For the purposes of this calculation, the number of months in the reference period is the number of complete calendar months in the reference period plus any fractions of a month at the beginning and the end of the reference period.

9.3

For the purposes of 9.1, in relation to general insurance business class 18, the amount of claims incurred used to calculate the gross adjusted claims amount must be the amount of costs recorded in the firm's books in the reference period as borne by the firm (whether or not borne in the reference period) in respect of the assistance given.

9.4

Except in those cases where 9.5 applies, the reference period to be used in 9.2 and 9.3 must be:

1. (1) the _financial year_ in question and the two previous _financial years_ ; or
2. (2) the period the _firm_ had been in existence at the end of the _financial year_ in question, if shorter.

9.5

In the case of a _firm_ which underwrites only one or more of the _general insurance business_ risks of credit (as included in _general insurance business class_ 14), storm (as included in _general insurance business class_ 8), hail or frost (as included in _general insurance business class_ 9 and including other business written in connection with such risks), the reference period to be used must be:

1. (1) the _financial year_ in question and the six previous _financial years_ ; or
2. (2) the period for which the _firm_ had been in existence at the end of the _financial year_ in question, if shorter.

10

The Brought Forward Amount

10.1

Subject to 10.2 and 10.3, the _brought forward amount_ is the _general insurance capital requirement_ for the prior _financial year_ , multiplied, if the ratio is less than one, by the ratio (expressed as a percentage) of:

1. (1) the _technical provisions_ (calculated net of _reinsurance_) for claims outstanding at the end of the prior _financial year_ ; to
2. (2) the _technical provisions_ (calculated net of _reinsurance_) for claims outstanding at the beginning of the prior _financial year_.

10.2

If the amount of the _technical provisions_ (calculated net of _reinsurance_) in 10.1(1) and (2) is in both cases zero, the _brought forward amount_ is the _general insurance capital requirement_ for the prior _financial year_ , multiplied, if the ratio is less than one, by the ratio (expressed as a percentage) of:

1. (1) the _technical provisions_ (calculated gross of _reinsurance_) for claims outstanding at the end of the prior _financial year_ ; to
2. (2) the _technical provisions_ (calculated gross of _reinsurance_) for claims outstanding at the beginning of the prior _financial year_.

10.3

If the amount of the _technical provisions_ (calculated gross of _reinsurance_) in 10.2(1) and (2) is in both cases zero, the _brought forward amount_ is the _general insurance capital requirement_ for the prior _financial year_.

11

Reinsurance Ratio

11.1

The _reinsurance ratio_ is:

1. (1) if the ratio calculated in (a) and (b) lies between 50% and 100%, the ratio (expressed as a percentage) of:
1. (a) the claims incurred (net of _reinsurance_) in the _financial year_ in question and the two previous _financial years_ ; to

2. (b) the gross claims incurred in that three-year period;
2. (2) 50%, if the ratio calculated in (1)(a) and (b) is 50% or less; and
3. (3) 100%, if the ratio calculated in (1)(a) and (b) is 100% or more.

12

Accounting for Premiums and Claims

12.1

For the purposes of 8.2, 9.2, 9.3, 10.1, 10.2 and 11.1, amounts of premiums and claims must be:

1. (1) determined in accordance with the insurance accounts rules ; and
2. (2) adjusted for transfers that were approved by the authority with responsibility for the approval of transfers of portfolios of contracts of insurance at the relevant time (or became effective where approval by an authority was not required) before the end of the financial year in question:
 1. (a) to exclude any amount included in, or adjustment made to, premiums and claims to reflect the consideration for a transfer of contracts of insurance to or from the firm ;
 2. (b) to exclude premiums and claims (including amounts that arose in the financial year in question or previous financial years) which arose from contracts of insurance that have been transferred by the firm to another body; and
 3. (c) to account for premiums and claims which arose from contracts of insurance that have been transferred to the firm from another body as if they were receivable by or payable by the firm (including where they arose prior to the date of transfer and were, in fact, receivable by or payable by the other body).

12.2

For both transfers to and from the firm, the consideration receivable or payable in respect of the transfer is excluded from premiums and claims in order to avoid double counting.

12.3

Where there has been a significant change in the business portfolio of the firm since the end of the financial year in question, the gross adjusted premiums amount and the gross adjusted claims amount must both be recalculated to take into account the impact of this change. The recalculation must take into account the requirements of the insurance accounts rules.

13

Actuarial Health Insurance

13.1

The conditions referred to in 8.2(2) and 9.2(2) are that:

1. (1) the health insurance is underwritten on a similar technical basis to that of life insurance;
2. (2) the premiums paid are calculated on the basis of sickness tables according to the mathematical method applied in insurance;
3. (3) a provision is set up for increasing age;
4. (4) an additional premium is collected in order to set up a safety margin of an appropriate amount;
5. (5) it is not possible for the firm to cancel the contract after the end of the third year of insurance; and
6. (6) the contract provides for the possibility of increasing premiums or reducing payments even for current contracts.

14

Long-Term Insurance Capital Requirement

14.1

A _firm_ carrying on _long-term insurance business_ must calculate its _long-term insurance capital requirement_ as the sum of:

1. (1) the _insurance death risk capital component_ ;
2. (2) the _insurance health risk and life protection reinsurance capital component_ ;
3. (3) the _insurance expense risk capital component_ ;
4. (4) the _insurance market risk capital component_ ; and
5. (5) the _resilience capital requirement_.

15

Insurance Death Risk Capital Component

15.1

This Chapter does not apply to:

1. (1) a _pure reinsurer_ ; or
2. (2) a _mixed insurer_ ;

in respect of _life protection reinsurance business_.

15.2

The _insurance death risk capital component_ is the aggregate of the amounts which represent the fractions specified by 15.3 of the capital at risk, defined in 15.4, for _contracts of insurance_ which fall within _long-term insurance business classes_ I, II, III, VII, VIII or IX, in respect of those contracts where the capital at risk is not a negative figure, multiplied by the higher of:

1. (1) 50%; and
2. (2) the ratio as at the end of the _financial year_ in question of:
 1. (a) the aggregate capital at risk in respect of that category of contracts net of _reinsurance_ cessions; to
 2. (b) the aggregate capital at risk in respect of that category of contracts gross of _reinsurance_ cessions.

15.3

For the purpose of 15.2, the fraction is:

1. (1) for _long-term insurance business classes_ I, II and IX, except for a _pure reinsurer_ :
 1. (a) 0.1% for temporary insurance on death where the original term of the contract is three years or less;
 2. (b) 0.15% for temporary insurance on death where the original term of the contract is five years or less but more than three years; and
 3. (c) 0.3% in any other case;
2. (2) 0.3% for _long-term insurance business classes_ III, VII and VIII, except for a _pure reinsurer_ ; and
3. (3) 0.1% for a _pure reinsurer_.

15.4

For the purpose of 15.2, the capital at risk is:

1. (1) where the benefit under a _contract of insurance_ payable as a result of death includes periodic or deferred payments, the present value of the benefits payable; and
2. (2) in any other case, the amount payable as a result of death,

less, in either case, the _mathematical reserves_ for the contract.

16

Insurance Health Risk and Life Protection Reinsurance Capital Component

16.1

Subject to 16.2 the _insurance health risk and life protection reinsurance capital component_ is the highest of:

1. (1) the _premiums amount_ ;
2. (2) the _claims amount_ ; and
3. (3) the _brought forward amount_.

16.2

16.1 only applies in respect of:

1. (1) _contracts of insurance_ falling in _long-term insurance business class_ IV (and subject to the conditions set out in 13.1 as modified by 16.3);
2. (2) risks falling in _general insurance business classes_ 1 or 2 that are written as part of a _contract of long-term insurance_ ; and
3. (3) in the case of a _pure reinsurer_ or a _mixed insurer_ , _life protection reinsurance business_.

16.3

For the purposes of 16.2, 13.1(3) is replaced with: "either the reserves include a provision for increasing age, or the business is conducted on a group basis."

17

Insurance Expense Risk Capital Component

17.1

This Chapter does not apply to:

1. (1) a _pure reinsurer_ ; or
2. (2) a _mixed insurer_ ;

in respect of _life protection reinsurance business_ or _permanent health reinsurance business_.

17.2

The _insurance expense risk capital component_ is:

1. (1) in respect of _long-term insurance business classes_ III, VII and VIII, an amount equivalent to 25% of the net _administrative expenses_ in the _financial year_ in question relevant to the business of each of those _classes_, in so far as the _firm_ bears no investment risk and the allocation to cover _management expenses_ in the _contract of insurance_ does not have a fixed upper limit which is effective as a limit for a period exceeding five years from the commencement of the contract;
2. (2) in respect of any _tontine_ (_long-term insurance business class_ V), 1% of the assets of the _tontine_;
3. (3) in the case of any other _long-term insurance business_, 1% of the _adjusted mathematical reserves_.

18

Insurance Market Risk Capital Component

18.1

The _insurance market risk capital component_ is 3% of the _adjusted mathematical reserves_ for all insurance liabilities except those of a kind which:

1. (1) arise from _contracts of insurance_ falling in _long-term insurance business classes_ III, VII or VIII to the extent that the _firm_ does not bear any investment risk; or
2. (2) arise from _contracts of insurance_ falling in _long-term insurance business class_ V; or
3. (3) for a _pure reinsurer_ or a _mixed insurer_, arise from _contracts of insurance_ falling within:
 1. (a) its _life protection reinsurance business_; or
 2. (b) its _permanent health reinsurance business_.

19

Adjusted Mathematical Reserves

19.1

The _adjusted mathematical reserves_ referred to in 17.2 and 18.1 is the aggregate of the amounts which result from the performance of the calculation in 19.3 for each category of insurance liability specified in 19.2.

19.2

The categories of insurance liability referred to in 19.1 are:

1. (1) for the purpose of 17.2:
 1. (a) liabilities of a kind which arise from _contracts of insurance_ falling in _long-term insurance business classes_ I, II or IX;
 2. (b) liabilities of a kind which arise from _contracts of insurance_ falling in _long-term insurance business classes_ III, VII or VIII to the extent that the _firm_ bears an investment risk;
 3. (c) liabilities of a kind which arise from _contracts of insurance_ falling in _long-term insurance business classes_ III, VII or VIII to the extent that the _firm_ bears no investment risk and where the allocation to cover _management expenses_ in the _contract of insurance_ has a fixed upper limit which is effective as a limit for a period exceeding 5 years from the commencement of the contract;
 4. (d) liabilities of a kind which arise from _contracts of insurance_ falling in _long-term insurance business __class_ IV; and
 5. (e) liabilities of a kind which arise from _contracts of insurance_ falling in _long-term insurance business __class_ VI; and
2. (2) for the purpose of 18.1, those categories described in (1)(a), (b), (d) and (e).

19.3

The calculation referred to in 19.1 is the multiplication of the amount of the _mathematical reserves_ (gross of _reinsurance_ cessions) in respect of a category of insurance liability by the higher of:

1. (1) 85% or, in the case of a _pure reinsurer_ , 50%; and
2. (2) the ratio as at the end of the _financial year_ in question of:
 1. (a) the _mathematical reserves_ in respect of that category of insurance liability net of _reinsurance_ cessions; to
 2. (b) the _mathematical reserves_ in respect of that category of insurance liability gross of _reinsurance_ cessions.

20

Resilience Capital Requirement

20.1

A _firm_ carrying on _long-term insurance business_ must calculate a _resilience capital requirement_ in accordance with this Chapter.

20.2

A _firm_ must identify _relevant assets_ which, after applying the scenarios in 20.3, have a value that is equal to the _firm's long-term insurance liabilities_ under those scenarios.

20.3

For the purpose of 20.2, the scenarios are:

1. (1) for those _relevant assets_ invested in the _UK_ , the _market risk_ scenario set out in 20.6;
2. (2) subject to (3) and to 20.10, for those _relevant assets_ invested outside of the _UK_ , the _market risk_ scenario set out in 20.8; and
3. (3) where the _relevant assets_ in (2) are:
 1. (a) held to cover _index-linked liabilities_ or _property-linked liabilities_ ; or
 2. (b) not invested in a _significant territory_ outside the _UK_ ;

the _market risk_ scenario set out in 20.6.

20.4

The _resilience capital requirement_ is the result of deducting B from A, where:

1. (1) A is the value of the _relevant assets_ which will produce the result described in 20.2; and
2. (2) B is the _firm's long-term insurance liabilities_.

20.5

In calculating the value of the _firm's long-term insurance liabilities_ under a scenario specified in 20.3, a _firm_ is not required to adjust the provision made under Insurance Company ? Overall Resources and Valuation 3.1 in respect of a _defined benefits pension scheme_.

20.6

In 20.3(1) and (3), the _market risk_ scenario for assets invested in the _UK_ and for assets (including assets invested outside the _UK_) held to cover _index-linked liabilities_ or _property-linked liabilities_ which a _firm_ must assume is:

1. (1) a fall in the market value of equities of at least 10% or, if greater, the lower of:
 1. (a) a percentage fall in the market value of equities which would produce an earnings yield on the FTSE Actuaries All Share Index equal to four-thirds of the long-term gilt yield; and
 2. (b) a fall in the market value of equities of 25% less the equity market adjustment ratio;
2. (2) a fall in real estate values of 20% less the real estate market adjustment ratio for an appropriate real estate index; and
3. (3) the more onerous of either a fall or rise in yields on all fixed interest securities by the percentage point amount equal to 20% of the long-term gilt yield.

20.7

For the purposes of 20.6(1) and (2), a firm must:

1. (1) assume that earnings for equities and rack rents for real estate fall by 10%, but dividends for equities remain unaltered (see Insurance Company ? Mathematical Reserves 9.5 and 9.6); and
2. (2) model a fall in equity and real estate markets as if the fall occurred instantaneously.

20.8

In 20.3(2), subject to 20.10, the market risk scenario for assets invested outside the UK (other than assets held to cover index-linked liabilities or property-linked liabilities) which a firm must assume is, for each significant territory in which assets are invested outside the UK:

1. (1) an appropriate fall in the market value of equities invested in that territory, which is at least equal to the percentage fall determined in 20.6;
2. (2) a fall in real estate values in that territory of 20% less the real estate market adjustment ratio for an appropriate real estate index for that territory; and
3. (3) the more onerous of either a fall or a rise in yields on all fixed interest securities by the percentage point amount equal to 20% of the nearest equivalent (in respect of the method of calculation) to the long-term gilt yield.

20.9

For the purposes of 20.8(1), an appropriate fall in the market value of equities invested in a significant territory must be determined having regard to:

1. (1) an appropriate equity market index for that territory; and
2. (2) the historical volatility of the equity market index selected in (1).

20.10

Where the assets of a firm invested in a significant territory of a kind referred to in 20.8 represent less than 0.5% of the firm's long-term insurance assets (excluding assets held to cover index-linked liabilities or property-linked liabilities), measured by market value, the firm may assume for those assets the market risk scenario for assets of that kind invested in the UK set out in 20.6 instead of the market risk scenario set out in 20.8.

21

ISPVs

21.1

A firm must not treat any amounts recoverable from an ISPV as reinsurance for the purposes of the calculation of:

1. (1) the _reinsurance ratio_ ; or
2. (2) the _insurance death risk capital component_ ; or
3. (3) the _adjusted mathematical reserves_.